

9708 / 11/ O/ N/19

1-C:

A: It is a positive statement which is objective and based on factual evidence, and not a normative statement.

B: Again, it is a positive statement which can be “objectively analyzed” and therefore tested through factual evidence, which means that it can be proved correct. This, by no means, explains a “normative statement”

C: It is a normative statement, which is subjective and based on opinions, thus making this correct.

D: Although a normative statement is subjective, it can not be reliably tested like a positive statement, this is why, this becomes incorrect.

2-D:

A production possibility curve (PPC), also known as a production possibility frontier (PPF), shows the maximum output combinations of two types of goods in an economy, that can be produced with a given amount of resources.

A. The maximum output that can be produced by a firm in a year: While a production possibility curve represents the maximum output of goods, it is not specific to an individual firm, but rather illustrates the production potential of an entire economy.

B. The maximum output that can be produced per worker per year in the economy: The production possibility curve does not depict the maximum output per worker per year in the economy. **Output per worker in a specific time period represents “labor productivity”.**

C. The maximum output that could be exported from a country: The production possibility curve does not focus on exports specifically. It represents the maximum output potential of an economy in terms of various goods that can be produced. The curve includes both goods for domestic consumption and goods for exports.

D. The maximum output of two or more goods in an economy from a given amount of inputs: This option correctly describes what a production possibility curve shows. **The curve demonstrates the different combinations of goods an economy can produce using its available resources and technology efficiently. This is why, key D, becomes correct.**

3-D:

During hyperinflation in Zimbabwe, the value of the Zimbabwean dollar rapidly decreased, which made it difficult to perform some of the key functions of money. However, two functions that the Zimbabwe dollar might have still performed during this time are :a unit of account and medium of exchange.

A unit of account is a standard measure that is used to value goods and services. Even during hyperinflation, the Zimbabwean dollar could still be used as a unit of account because it was the official currency of the country. **Prices of goods and services were still listed in Zimbabwean dollars, even though the actual value of the currency was rapidly decreasing.**

A medium of exchange is an item that is used to purchase goods and services. Even though the value of the Zimbabwean dollar was rapidly decreasing, it was still accepted as a medium of exchange in Zimbabwe. **People could still use Zimbabwean dollars to buy goods and services, although they might have needed large amounts of currency to purchase relatively small items.**

The other options, B and C, are not correct because they involve functions that are more closely related to the value of money as a store of value and standard for deferred payments. A store of value refers to the ability of money to hold its value over time. During hyperinflation, the value of the Zimbabwean dollar was rapidly decreasing, which means it was not performing well as a store of value. A standard for deferred payments refers to the ability of money to be used to pay debts or make contracts that will be settled in the future. During hyperinflation, the value of the Zimbabwean dollar was too unstable to be used as a standard for deferred payments.

4-D:

We are interested in an option that causes a rightward shift in the production possibility curve

- A- A decrease in scarce resources will result in shortages, and therefore , a rise in costs of key-raw materials, which will contribute to a fall in Aggregate supply, which since results in a fall in real incomes, representing a rise in unemployment, would result in the actual moving closer to the origin, thus making this incorrect.
- B- A decrease in costs of resources :for example , that of key-raw materials, will contribute to a rise in Aggregate supply, which since results in a rise in real incomes, representing a rise in incomes, output and employment, would result in the actual moving closer to the potential thus making this incorrect.
- C- A rise in costs of labor will contribute to a fall in Aggregate supply, which since results in a fall in real incomes, representing a rise in unemployment, would result in the actual moving closer to the origin, thus making this incorrect.

- D- An increase in the size of the labor force represents a rise in the quantity of factors of production, which will result in a rise in the “productive potential” of the economy, leading to a rightward shift in the PPC curve, thus making this correct.

5-A:

At price line of 8 cents ,there is a shortage in the market as Quantity demanded of 600 is greater than the quantity supplied of 450.The shortage is by 150 units.

There are two options :either decrease demand by 150 or increase supply by 150 units.

A - If the government subsidizes banana production by 2 cents, this will increase supply .If we see at price level of 4 cents, the farmer was willing to supply 150 units but at the price level of 6(greater by \$2)farmers supply increased by 150 units to 300 units.

Similarly, if the government subsidizes 2 cents per kg ,that is, it provides farmers help by providing a grant of 2 cents on every kg ,the farmers willingness to sell will increase, and supply would increase by **150 units from 450 units to 600 units.**

This is how, the equilibrium will be achieved, making it correct.

B – Imposing a tax would further decrease supply and in turn, qty that is supplied, leading to shortages being exacerbated.

C _ Purchasing the entire supply at 8 cents and selling it at 4 cents might further extend quantity demanded, as at a lower price level, consumers may be willing and able to purchase more, which will result in shortages being worsened.

D_ Although rationing is a way to deal with shortages, whereby the government takes charge of controlled distribution of goods and services, for example, in this case, the government may allot the quantity of 75 kg of bananas to each customer per year. **Here, we cannot calculate the total quantity supplied now since we are unaware of the total number of customers.**

6-D:

Supply schedule is a **tabular representation of the various quantities of commodities that are supplied by a supplier at different price levels over a period of time.** Supply schedule shows the positive relationship between the price of goods and the quantity of goods supplied.

A -The number of consumers is a demand factor, which affects prices, and can therefore be varied.

B -The price is a factor that is taken in isolation, therefore it cannot be kept unchanged.

C - The quantity of raw material inputs will affect the prices, and therefore , they can be varied.

D - All other factors such as the state of technology are to be held constant or unchanged, thus making D the answer.

7-D:

We are interested in an option that brings an inward shift in the supply curve.

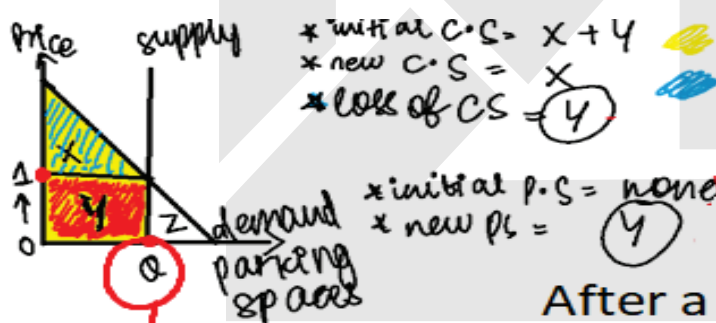
A-An increase in the number of firms in the industry will cause a rightward shift in the supply curve instead of a leftward shift.

B-An increase in the number of workers employed may increase the output produced.

C-An increase in the productivity, that is a measure of efficiency of a business calculated through output per unit volume of inputs, will result in a reduction in costs, thereby causing the supply to increase or a rightward shift in the supply curve.

D-An increase in the wage rate paid to workers will cause an increase in Total costs as labor costs form the greatest proportion of the total costs of a firm, which will result in a reduction in supply, resulting in a leftward shift in the supply curve. This is why, this will be the answer.

8-C:



The number of spaces in a parking lot is fixed.

After a charge of \$1 is introduced, the consumer surplus falls by "Y" from "X+Y" to "X"

This explains why key C will be correct.

9-A:

A-The minimum price of OP1 is imposed below the equilibrium, represents an ineffective minimum price which will rise back to the equilibrium, thus causing price mechanism to be functional. Similarly, the maximum price of OP2 is imposed above the equilibrium which makes it ineffective as it will fall back to the equilibrium ,again making price mechanism operational. This means that price will be unchanged at OP.

B-The price would have only fallen to OP1 if the maximum price was effective , that is, it would have been imposed below the equilibrium.

C-The price would have only risen to OP2 if the minimum price was effective, that is , it would have been imposed above the equilibrium.

D-In a case whereby the maximum price was effectively imposed, that is below the equilibrium, quantity demanded would have extended, whereas quantity supplied would have contracted, thereby resulting in shortages, rationing would have been necessary in-order to cope up with scarcity .**This is when a certain quantity has been allotted to customers to ensure a fairer distribution. However, there is no need for that since the maximum price is ineffectively imposed.**

10-C:

Since there is a positive value of XED of 1.8,it can be said that goods X and Y are substitutes.

Moreover, the negative value of YED of 0.6 of good Y suggests that good Y is an inferior good.

An increase in incomes will cause the demand for good Y ,that is, the inferior good and in turn the **quantity demanded of good Y to fall** as consumers will now switch to superior substitutes, since there is a negative relationship between income and quantity demanded of inferior goods.

Whereas, a rise in price of good Y **will cause the qty demanded of good X to extend (rise)**since consumers would now switch to good X ,this is because of a **positive relationship between the price of one good and the quantity demanded of another in case of substitutes.**

This is why none other than option C will be correct.

11-D:

A: Price elasticity of supply does not measure the change in quantity supplied when price changes; instead it measures a percentage change in quantity supplied upon a percentage change in price.

B: It does not measure the change in qty supplied when demand changes.

C: It does not compare the percentage change in supply to the percentage change in demand.

D: It compares the percentage change in supply to the percentage change in price, thus making this correct.

12-C:

Ceteris Paribus _ it acts as a shorthand indication of the effect of one economic variable on another, provided all other variables remain the same (constant).

A-In case of ceteris paribus, only one variable is taken into isolation, whereas all other variables are held unchanged. When economists analyze the way in which quantity demanded changes ,only the factor 'price' is taken into isolation and is varied, whereas all other factors affecting demand are held constant.

B-It is not important that consumer preferences are always assumed to remain unchanged. The condition is that only one variable is assumed to change while the others remain the same.

C-It is correct as in case of ceteris paribus, we assume that only one variable changes while the others remain the same.

D-It is wrongly stated as several variables should not change at the same time

13-A:

We are interested in an option that represents elastic demand.

A: In case of elastic demand, a fall in price increases total expenditure, since there is a negative relationship between price and total expenditure, as because of it , quantity demanded extends by a larger percentage, thus making this option correct.

B:This represents law of demand according to which a fall in price increases qty demanded.

C: This represents inelastic demand as a rise in price in this case brings about an increase in total expenditure, this is because there is a positive relationship between price and total expenditure in that case, since quantity demanded contracts by a smaller percentage.

D: This is representative of law of demand according to which a rise in price reduces quantity demanded.

14-A:

A:National defense is an example of a public good , since it is non- rejectable , as you cannot choose to stay unprotected. Moreover, an army of given size protects everyone including the non-tax payers representing non-excludability. Additionally, protection gained by an individual does not reduce the protection available for other individuals, which represents non-rivalry. This makes it evident that it is a pure-public good. This means that , there will be a free rider problem ,that is , when consumers are aware that even without paying for these goods ,they will be able to enjoy equal benefits as those who pay for it ,therefore making it difficult to charge prices for them, in other words there is no mechanism to set prices, therefore the private sector operating with the objective of profit-maximization would never provide for it, which means that the complete responsibility will be under the government who raises

revenues through taxes, also because determining the supply of national defense is another issue since it cannot be restricted, thus making this correct.

B: National health is a merit good that is also provided by private sector alongside government who chooses to engage itself in direct provision. This is not only provided by the government

C: Both private sector and public sector can provide museums; when the government provides museums, they are termed as public museums, whereas private museums are provided by the private sector.

D: Both private sector and public sector can provide theatres; when the government provides theatres, they are termed as public theatres, whereas private theatres are provided by the private sector.

15-D:

A. Profit: Profit refers to the excess of revenue over expenses that a business earns as a return on its productive activities. Profit is earned by contributing to the production and sale of goods or services, and it corresponds to the output generated by the business.

B. Revenue: Revenue represents the total income generated from the sale of goods or services by a business. It is directly tied to the output produced by the business. Revenue is earned through productive activities and reflects the contribution to output.

C. Salary: A salary is a fixed amount of money paid to an employee for their work or services rendered. It is typically associated with the individual's contribution to the production process, as they receive compensation for their labor and input towards generating output. Therefore, a salary is not the term for income received without a corresponding contribution to output.

D. Transfer payment: Transfer payment refers to an income received by an individual without any corresponding contribution to output. It is typically provided by the government or other organizations, examples of transfer payments include social security benefits, welfare payments, unemployment benefits, and pensions. Transfer payments do not result from productive activities or the creation of output. This is why, it is correct.

16-B:

A. An increase in expenditure on government-provided pensions: This option would further favor older people, as it directs more resources towards their support. It does not provide opportunities for younger people. Instead, because of **government's decisions to invest in pensions, the burden of tax on the younger population may increase**, which means that it reinforces the existing policy that favors older individuals.

B. By focusing on training schemes for school-leavers, the government can provide opportunities and support for younger individuals who may be disadvantaged by the

policy favoring older people. These training programs can equip young people with the necessary skills and qualifications to improve their employment prospects and overcome the imbalance. This is why, key B, becomes correct.

C. Increasing the rate of income tax on earned incomes would affect younger people and it would burden younger individuals who are already facing a disadvantage due to the policy favoring older people.

D. Increasing the rate of interest on savings may benefit older individuals who have accumulated savings, but it does not provide specific support or opportunities for younger people who are being disadvantaged, since due to support for older people, they are faced with a higher consumption as a proportion of household disposable income, and therefore, a lower savings ratio, which means that they will benefit less from this.

17-D:

D. A shift to the right in the supply curve and a fall in equilibrium price: This option correctly identifies the likely effect of a government subsidy. By reducing production costs for the producer, the subsidy encourages an increase in supply. This results in a rightward shift of the supply curve. The increased supply results in a surplus, which, in turn, can lead to a fall in the equilibrium price as producers are able to offer the product at a lower cost. **This is why, D becomes correct.** The leftward shift in the supply curve mentioned in option B is not true, **thus making option B incorrect.**

Subsidies being given to producers would not affect the demand curve, or in other words, it would not bring about a shift in the demand curve, making options A and C incorrect.

18-D:

A. The government will guarantee competitive behavior: Natural monopolies, by their nature, tend to have limited competition due to factors such as high entry barriers, or exclusive access to essential resources. The government ownership of a natural monopoly does not guarantee competitive behavior. Therefore, this option is incorrect.

B. The government will ignore any losses made by the monopoly: Ignoring losses would create an incentive for inefficiency and discourage cost control. The government's ownership of a natural monopoly is often intended to ensure efficiency and control over pricing and quality of service. Therefore, this option is incorrect.

C. The government will maximize profits: Natural monopolies, as providers of essential services or goods, are typically regulated to prevent monopolistic pricing and ensure affordability for consumers. The primary objective of government ownership in a natural monopoly is not to

maximize profits but rather to ensure fair and efficient provision of the service or good. Therefore, this option is incorrect.

D. The government will take account of external benefits: Natural monopolies often have significant external benefits associated with their operations. External benefits refer to positive impacts on society that extend beyond the direct users or consumers of the service or good. For example, a natural monopoly providing electricity may contribute to reduced pollution and environmental benefits. Government ownership allows the consideration of these external benefits in decision-making. This is why, key D, becomes correct.

19-B:

A- The **income elasticity of demand** measures how sensitive the quantity demanded of a good or service is to changes in income. If the income elasticity of demand for imports is greater than 1, it implies that imports are considered normal goods or luxury goods or goods for which demand increases more than proportionately with an increase in income.

In this context, if a country imposes a tariff on imports, it will raise the price of imported goods and reduce the quantity demanded. **However, if the income elasticity of demand for imports is greater than 1, it suggests that even with the increase in price, the demand for imports will still remain relatively high due to the increased income of consumers.**

As a result, the country's expenditure on imports may not be significantly reduced because the higher price is not deterring consumers from purchasing imported goods. **Instead, the increased income leads to a higher demand for imports, offsetting the effect of the tariff on expenditure.**

B- It is the correct choice because it considers the responsiveness of the quantity demanded of imports to changes in their price. If the price elasticity of demand for imports is greater than 1 (or elastic), it indicates that a change in price will have a proportionately larger impact on the quantity demanded. Therefore, when a country imposes a tariff on imported goods, resulting in an increase in their price, the quantity demanded is expected to decrease by a relatively higher percentage, leading to a reduction in expenditure on imports.

This also explains why Option C will be incorrect, as if the demand for imports had been "price-inelastic", the quantity demanded of imports would contract by a relatively smaller percentage, even after a rise in prices due to tariffs, resulting in a rise in import expenditures.

D – In-order to assess the impact of tariff on the volume of imports and import expenditure, we need information about price elasticity of supply of domestic substitutes available, rather than the PES of imported goods.

20-C:

An increase in government expenditure represents injections into the circular flow, and since government spending is a component of Aggregate demand, this would result in a rise in "Aggregate demand"

An increased investment on infrastructure, and training would improve labor productivity, helping to undercut costs, as a result of which, there will be a rise in the "Aggregate Supply"

This is why, key C, becomes correct

21-A:

21 The table shows the amount of good X or the amount of good Y that can be produced by country R and country T if each uses all of their resources.

	output of good X	output of good Y
country R	80	100
country T	20	80

* R has an absolute advantage in producing good X as well.

greater output of good Y is produced by country R which means that, it has an absolute advantage

What can be concluded from the table?

- ☒ A Country R has an absolute advantage in producing good Y and a comparative advantage in producing good X.
- ☐ B Country R has an absolute advantage in producing good X and a comparative advantage in producing good Y.
- ☐ C Country T has an absolute advantage in producing good X and a comparative advantage in producing good Y.
- ☐ D Country T has an absolute advantage in producing good Y and a comparative advantage in producing good X.

Country R: $80X : 100Y$

$1X : 100/80Y$

$1X : 1.25Y$

+ lower opportunity cost ratio means R has a comparative advantage in producing good X.

Country T: $20X : 80Y$

$1X : 80/20Y$

$1X : 4Y$

Since it is bilateral trade, T has a comparative advantage in Y.

22-B: A: A low domestic savings rate represents that consumption is a higher proportion of household disposable income, and is suggestive of a higher consumption expenditure on imports as well, which would result in a rise in deficit

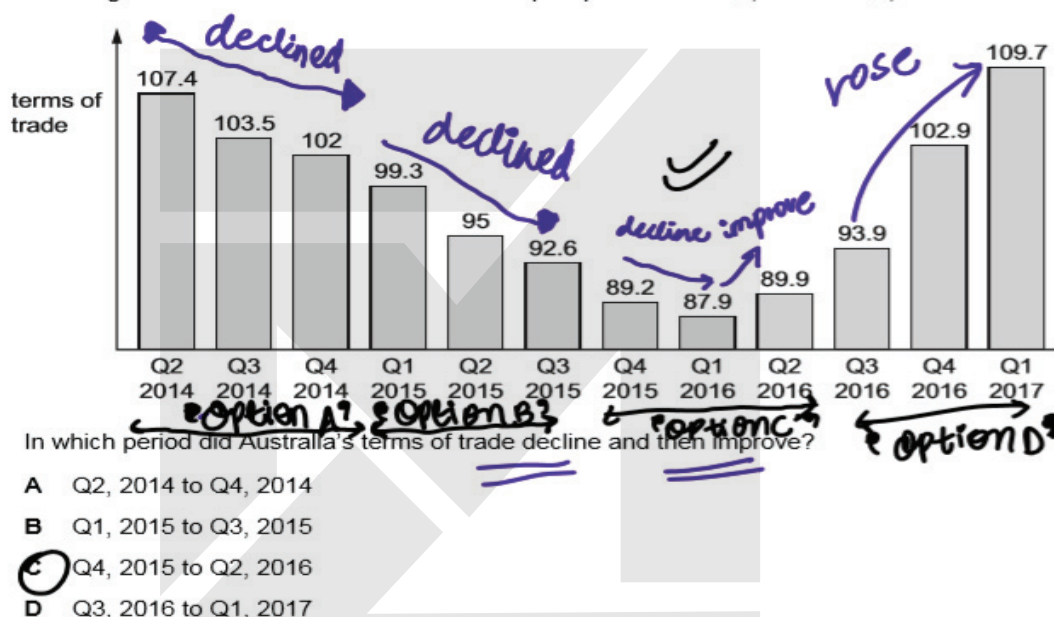
B: An undervalued exchange rate represents devaluation. This may lead to export-oriented goods appearing relatively cheaper in the international market, and this global competitiveness may bring about an extension in the international quantity demanded of exported goods, and that too by a relatively higher percentage, when the demand for them is elastic, which leads to an increase in export-revenues, relative to import expenditures which fall because now imported goods appear relatively expensive, which results in a contraction in qty demanded of imported goods. This leads to a Balance of Trade Surplus, and is therefore a cause of a "persistent surplus"

C: Highly protectionist policies by other countries would reduce the volume of a country's exports, resulting in a fall in export revenues, leading to a reduction in surplus.

D: Low investment income from abroad means that there will be less inflows under the primary income section of the current account, resulting in a reduction in surplus.

23-C:

23 The diagram shows Australia's terms of trade per quarter from Q2, 2014 to Q1, 2017.



24-A:

A reduction in labor costs will decrease the costs, and therefore cause an increase in Aggregate supply, shown through a rightward shift of the Aggregate supply curve, thus making option A correct.

A fall in costs would not decrease Aggregate supply, therefore option C becomes incorrect

Since interest rates have remained unchanged, there would not be any impact on the Aggregate demand, thus making options B and D incorrect.

25-B:

In-order for the economy to experience a j-curve effect, the economy must **devalue its exchange rate** at time “B”.

The Marshall-Lerner condition states that for a currency devaluation (or depreciation) to have a positive impact on the trade balance, the combined price elasticity of demand for exports and imports must be greater than 1. In other words, the sum of the price elasticities of demand for exports and imports must exceed 1.

Short-run deficit: After a currency devaluation, the prices of imported goods increase, making them more expensive for domestic consumers. However, the demand for imports tends to be relatively inelastic in the short run, meaning that consumers are less responsive to changes in price. Therefore, the initial effect is that the qty demanded of imports may not decrease significantly, leading to a rise in import expenditures.

While the prices of exports become relatively cheaper for foreign buyers, it takes time for export volumes to respond as initially due to inelastic demand, qty demanded of exported goods may extend by a relatively smaller percentage, leading to a fall in export revenues. Exporters need to renegotiate contracts, this is termed as the “**the thistle effect**”. This is why, there will be a deficit in the short-run.

When the **Marshall-Lerner condition applies**, a depreciation of the country's currency makes its exports cheaper for foreign buyers and imports more expensive for domestic consumers. This change in relative prices should, in theory, result in an increase in export revenue and a decrease in import expenditure, leading to an improvement in the country's trade balance. **The condition is based on the assumption that the sum of the price elasticities of demand for exports and imports is greater than 1. This means that the percentage change in the quantity demanded for exports and imports, respectively, is more than proportionate to the percentage change in their prices.**

This is why, key B, becomes correct.

26-B:

A: An increase in average changes in prices as represented through an increase in CPI does not necessarily represent an increase in consumer expenditure. Consumer expenditures may decrease if the demand for most of the goods is elastic, as rises in prices by even smaller percentages may contract quantity demanded of individuals by a relatively higher percentage.

B: An increase in CPI (Consumer Price Index) means that there has been an increase in average change in prices over time. CPI is used to measure inflation, and track **changes in costs of living** over a given period of time. An increase in CPI represents inflation and this means that there has been an **increase in the cost of living over time**, thus making this correct.

C: Even if there is inflation in the economy, standard of living may not decline if the rate of increase of nominal income (for e.g. : 20%) is greater than the rate of inflation (for eg:10%). In such a case, real incomes increase by 10% representing that standard of living has risen. Even in a period of mild inflation in the short-run, when the economy experiences a multiplier effect in terms of an increase in output, income and employment, standard of living may increase, thus making this incorrect.

D: A decrease in real incomes may not occur if the rate of rise of nominal income is greater than the rate of inflation. Moreover, in order for disposable incomes to have fallen, information about income taxes should be present which is currently missing, thus making this incorrect.

27-C:

A) Financial investments in Germany by Japanese banks: Financial investments, such as foreign direct investment or portfolio investments made by foreign entities in Germany, would be included in Germany's balance of payments accounts. These transactions fall under the **capital account or the financial account**.

B) Foreign aid received by Germany: Foreign aid received by Germany would be recorded as a **secondary income** and would be included in the current account of the balance of payments. Secondary incomes represent transactions, that involve the transfer of funds or assets without any goods or services being exchanged in return.

C) The German terms of trade: The terms of trade represents the ratio at which a country's exports can be exchanged for imports. It is a measure of relative prices between exports and imports. However, the terms of trade do not directly involve transactions with the rest of the world and are not included in the balance of payments accounts. **This is why, key C becomes correct.**

D) The takeover of a German company by a French company: The takeover of a German company by a foreign company, in this case, represents foreign direct investment inflows, which will be a part of **"financial account" of Balance of Payments**.

28-B:

We are interested in an option that results in a fall in surplus, or in other words, a move towards a deficit.

A - Depreciation may lead to export-oriented goods appearing relatively cheaper in the international market, and this global competitiveness may bring about an extension in the international quantity demanded of exported goods, and that too by a relatively higher percentage, when the demand for them is elastic, which leads to an increase in export-revenues, relative to import expenditures which fall because now imported goods appear relatively expensive, which results in a contraction in qty demanded of imported goods. This leads to a Balance of Trade Surplus. Although a rise in government spending would increase rolling of money and generate incomes, resulting in a rise in consumption expenditure on imported goods as well, which means that the deficit may increase, but this becomes incorrect as whole.

B- . Because of a rising exchange rate, imports become cheaper, leading to an extension in qty demanded of imports ,leading to a rise in import expenditures relative to export revenues which fall since export-oriented goods becoming relatively expensive , which means that there will be a contraction in qty demanded of exports, therefore resulting in a Balance of Trade deficit. And a cut in interest rates will reduce the incentives to save, and in turn cause a fall in the savings ratio, resulting in a rise in consumption-expenditure on imported goods as well, which will lead to a rise in import expenditures, resulting in an increase in deficit. This is why, this option becomes correct.

C- A pay freeze here would reduce the ability of individuals to spend on imported goods, resulting in a fall in import expenditures, contributing to an increase in surplus.

D – Increases in direct taxation for example: income taxation, will cause a fall in disposable income ,and in turn lead to a fall in consumption expenditure, even on imported goods as well, resulting in a fall in import expenditures, contributing to an increase in surplus.

Whereas, an increase in indirect taxation will reduce Aggregate supply and cause inflation, and again because of a fall in real incomes, consumption on imported goods may fall, resulting in a fall in import expenditures, making this incorrect ,as this too would contribute to a rise in surplus.

29-D:

The relationship between the annual inflation rate and the degree of central bank independence is often characterized by an inverse or a negative relationship. In general, countries with a higher degree of central bank independence tend to have lower average inflation rates, while countries with a lower degree of independence may experience higher inflation rates.

Central bank independence refers to the extent to which a central bank is free from political interference in conducting monetary policy.

Independent central banks typically have a primary objective of maintaining price stability or low inflation. They are able to focus on implementing monetary policies aimed at controlling inflation without political interference, which can help keep inflation rates low.

Negative relationship will be shown through a downward sloping curve, which is only the case in option D, which in turn becomes correct.

30-C:

A - Depreciation may lead to export-oriented goods appearing relatively cheaper in the international market, and this global competitiveness may bring about an extension in the international quantity demanded of exported goods, and that too by a relatively higher percentage, when the demand for them is elastic, which leads to an increase in export-revenues, relative to import expenditures which fall because now imported goods appear relatively expensive, which results in a contraction in qty demanded of imported goods. This leads to a Balance of Trade Surplus, which when increases Aggregate demand would result in inflation when Aggregate demand exceeds Aggregate supply.

B- A reduction in the productivity of labor will lead to a rise in costs, and in turn a fall in Aggregate supply, resulting in cost push inflation.

C- A world-wide recession means that less incomes are earned globally, as a result of which, there will be a fall in the demand for exported goods, and in turn export revenues, which since represents a fall in injections in the circular flow, would result in a fall in Aggregate demand, leading to demand pull inflation being controlled.

D – An increase in direct taxes would reduce disposable income, and in turn decrease consumption expenditure, resulting in a fall in Aggregate demand. But, since a rise in welfare payments will lead to a rise in consumption expenditure, there will subsequently be a rise in Aggregate demand, and the net effect would therefore be uncertain.

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